neither did it relate to the (over)valuation of Yahoo's stock specifically or the market generally. It also did not involve optimizing the performance of his equity or competing with a benchmark.

Rather, I suggested employing a *regret minimization framework*.[413]

Although any investment has a range of possible outcomes, I wanted to focus on potential outliers at the far ends of the spectrum. These were:

- **Scenario One**: Hold, and Yahoo's stock tumbles from $300 to $30.
- **Scenario Two**: Sell, and the shares soar to $3,000.

*How would you feel if either of these occurred?*[414]

For my friend, it was an easy decision. If he sold his 25% vested shares and the stock went higher, he still owned a big proportion of his options. The probability of the second outcome wasn't the issue; what really mattered was the potential future regret if he didn't sell and the stock collapsed.[415]

What happened: He sold the 25%, watched the stock rally for a few months, then saw it collapse. He was happy with his decision, but not everyone at Yahoo was so fortunate. Stories abounded of paper multimillionaires and even billionaires who saw much of their wealth evaporate in the subsequent crash, never to recover.

I have had recent conversations with Apple (AAPL) and Nvidia (NVDA) shareholders, as well as with Bitcoiners—each sitting on massive windfalls. As I write this today, Bitcoin is $97,000; Nvidia's market cap is now $3.6 trillion, just ahead of Apple and Microsoft, making it the most valuable company in the world. Maybe Bitcoin goes to $500,000, maybe it falls to $5,000. Who knows where NVDA goes next? We have to accept the simple truth that a) we have no idea what either price will be in the future, and b) selling *some* can be a life-changing experience for you and your family.

It doesn't have to be an all-or-nothing decision. The middle option is to sell